Largest Discretionary Source of Transfers to States is CSSs

According to the statement recording central transfers to states in *Budget at a Glance* (2020–21), Rs 2.71 lakh crore was transferred to the states under Centrally Sponsored Schemes (CSSs) as revenue expenditure in 2018–19. This amounted to 13.03 per cent of the gross central tax revenues of Rs 20.80 lakh crore, a substantial share. The Central government also publishes a Statement as part of the Budget papers, Statement 4A, titled Centrally Sponsored Schemes, which informs us that the total revenue expenditure on CSSs in 2018–19 was Rs 2.96 lakh crore. The difference is accounted for by Central government establishment expenditure on administering CSSs as well as some small transfers to central agencies, who in turn spent it on administering or transferring to state governments.

The largest CSS in 2018–19 was the Mahatma Gandhi National Rural Employment Guarantee Programme (popularly known as MGNREGA), which provides wages and unemployment allowance to labour seeking employment from the government. The National Health Mission, which partly funds infrastructure creation, services of health staff in subcentres and primary health centres and expenditure on medicines and other disposables, cost the government Rs 31,502 crore.

Other significant CSSs include Green Revolution (an umbrella scheme of agricultural interventions) at Rs 11,748 crore, Pradhan Mantri Gram Sadak Yojana (building of rural roads as per minimum norms laid down) at Rs 15,414 crore, Pradhan Mantri Awas Yojana (construction of affordable houses for the rural and urban poor) at Rs 25,442 crore, Swachh Bharat Mission—Gramin (building of toilets in rural areas and spreading awareness to make rural India free of open defecation) at Rs 12,913 crore, National Education Mission (an umbrella scheme for creation of school infrastructure and to fund salaries of new teachers and other staff) at Rs 30,830 crore, Integrated Child Development Scheme (an umbrella scheme of interventions to improve nutritional and health standards of children